From: Yardeni QuickTakes <yardeni-research@ghost.io>
Subject: US MARKETS CALL: Below The Calm Deep Blue Sea
Date: 2 hours ago

US MARKETS CALL: Below The Calm Deep Blue Sea

YARDENI QUICKTAKES

US MARKETS CALL: Below The Calm Deep Blue Sea

By Ed Yardeni & Toby Hearst • 14 Nov 2026

View in browser

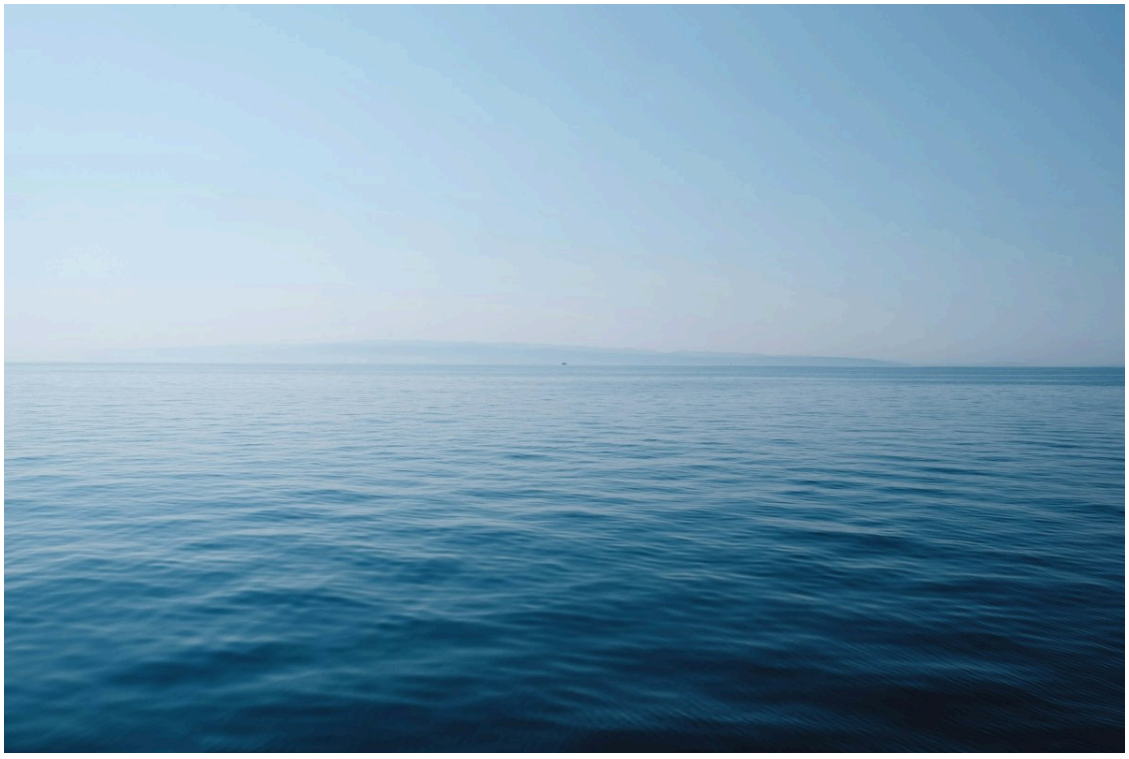


Photo by Thomas Vimare / Unsplash

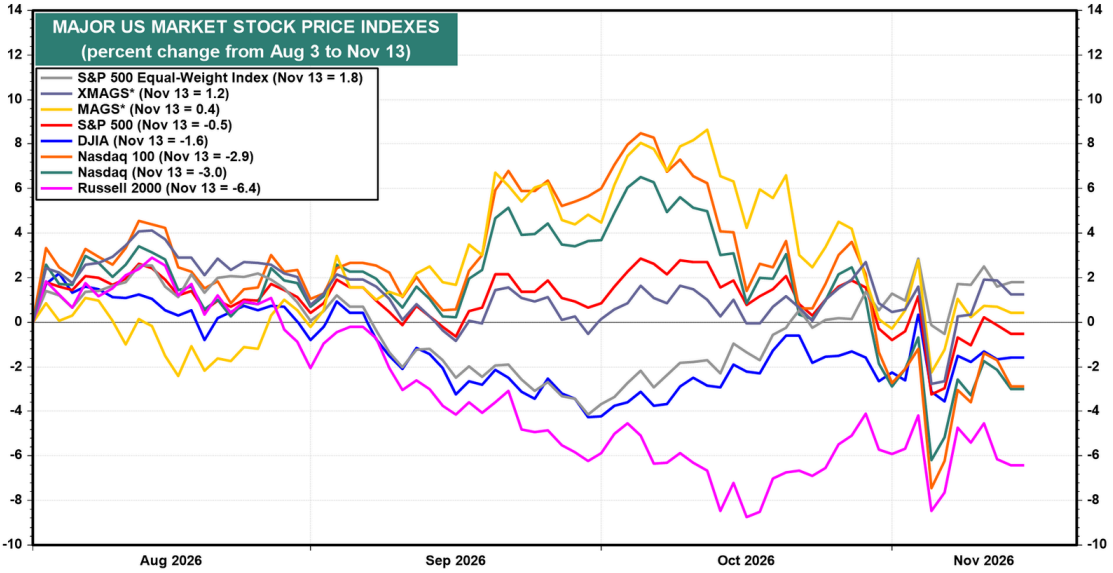
The major stock market indexes have gone nowhere since early August. On the surface, the seas have been calm. Underneath, plenty of turbulence has been occurring. Most of the volatility has been within sectors.

In mid-September, we warned our readers to proceed with caution through the midterm elections. We expected and are now seeing buying

opportunities. The S&P 500 closed at 7,561.67 on Friday. It has been fluctuating around 7,600 since August 3. We think it is set for another rally that should take it up to 7,900 by the end of this year.

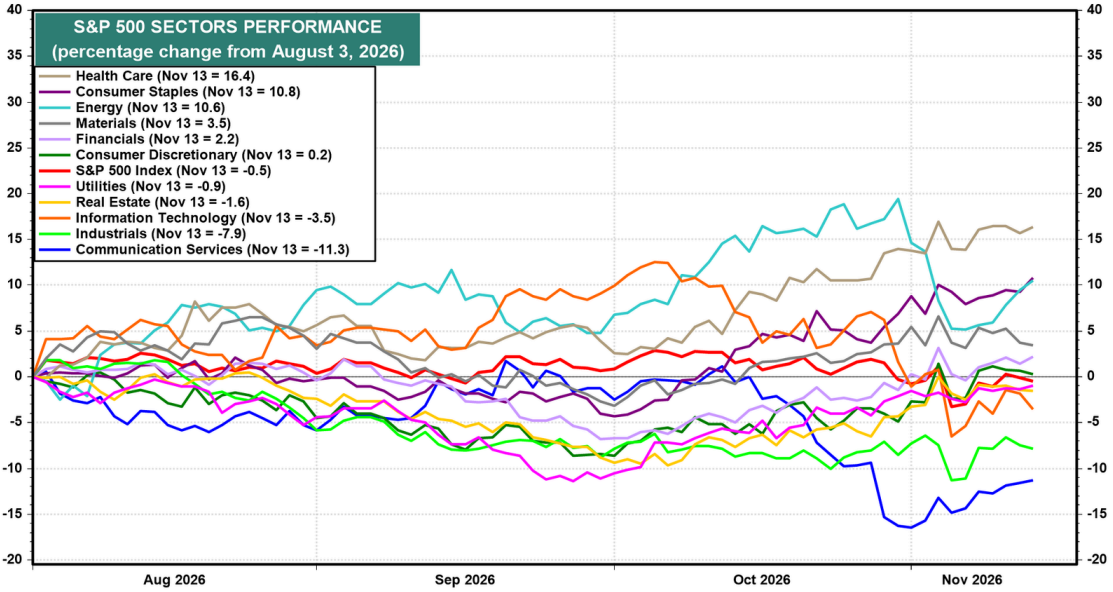
I. Stock Market Performance

The S&P 500 is down just 0.5% since August 3, while the equal-weight version of the index is up 1.8% (chart). The MAGS ETF is up 0.4%, while the XMAGS ETF is up 1.2%. The Nasdaq is down 3.0%. Only the Russell 2000 has moved much, falling 6.4%.



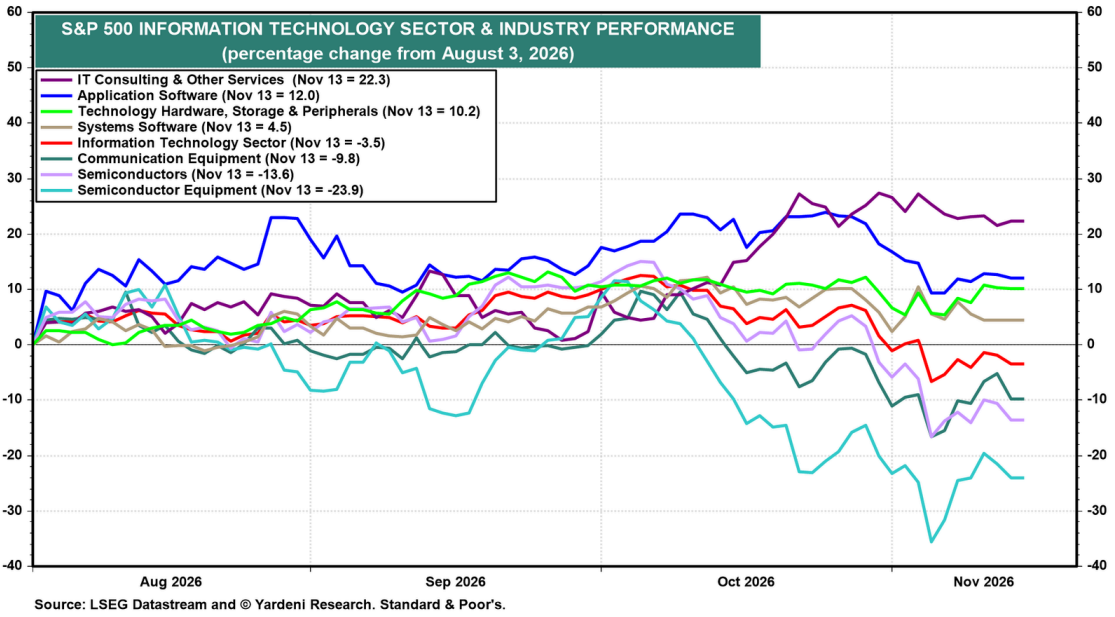
Source: LSEG Datastream and © Yardeni Research.
* Roundhill Magnificent-7 ETF (MAGS) and S&P 500 excluding Magnificent-7 ETF (XMAGS).

The sectors underneath the S&P 500 have been choppier (chart). Health Care has gained 16.4% since August 3, and Consumer Staples is up 10.8%. Communication Services is down 11.3%, and Industrials is down 7.9%. Information Technology, at the center of the AI selloff, is down 3.5%.

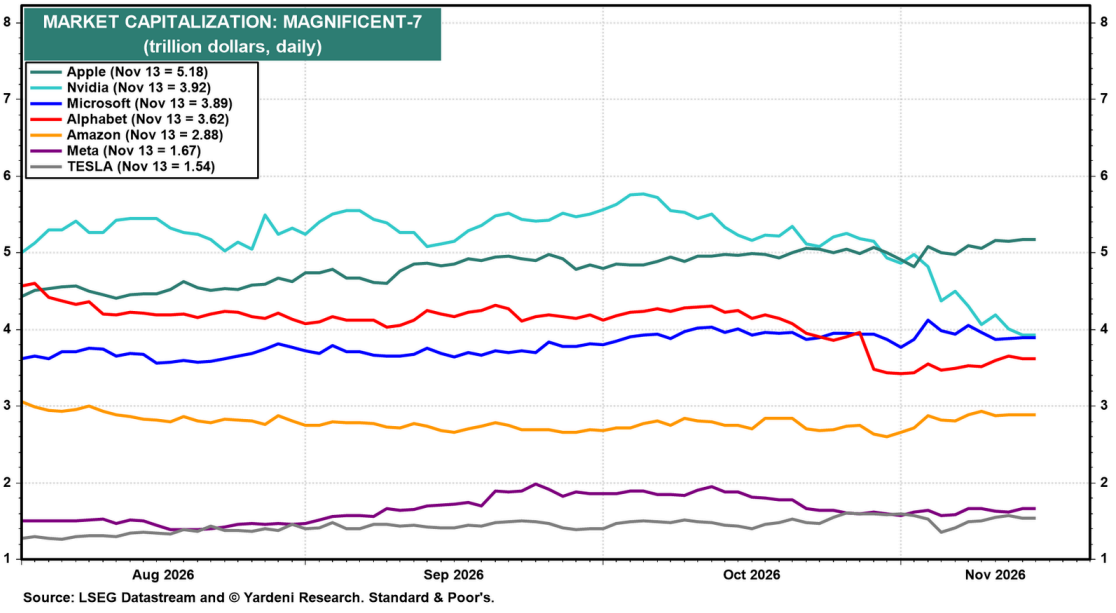


Source: LSEG Datastream and © Yardeni Research. Standard & Poor's.

The Information Technology sector has also been extremely turbulent below the surface (chart). The Semiconductor Equipment and Semiconductors industries are down 23.9% and 13.6% since August 3. Meanwhile, IT Consulting is up 22.3%. Application Software and Systems Software are up 12.0% and 4.5%. The crosscurrents have largely offset each other.

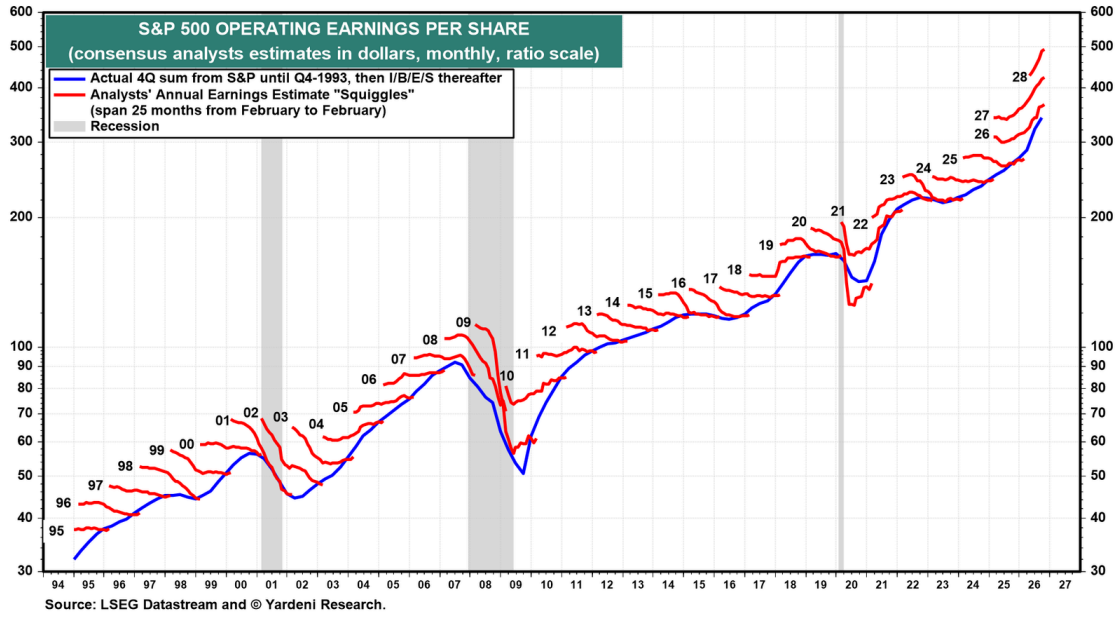


The Magnificent-7 stocks have diverged too (chart). Nvidia's market cap has dropped to $3.92 trillion following news of CEO Jensen Huang's resignation. Apple's market cap is at a record $5.18 trillion. Alphabet's fell after reporting earnings but has since stabilized at $3.62 trillion.

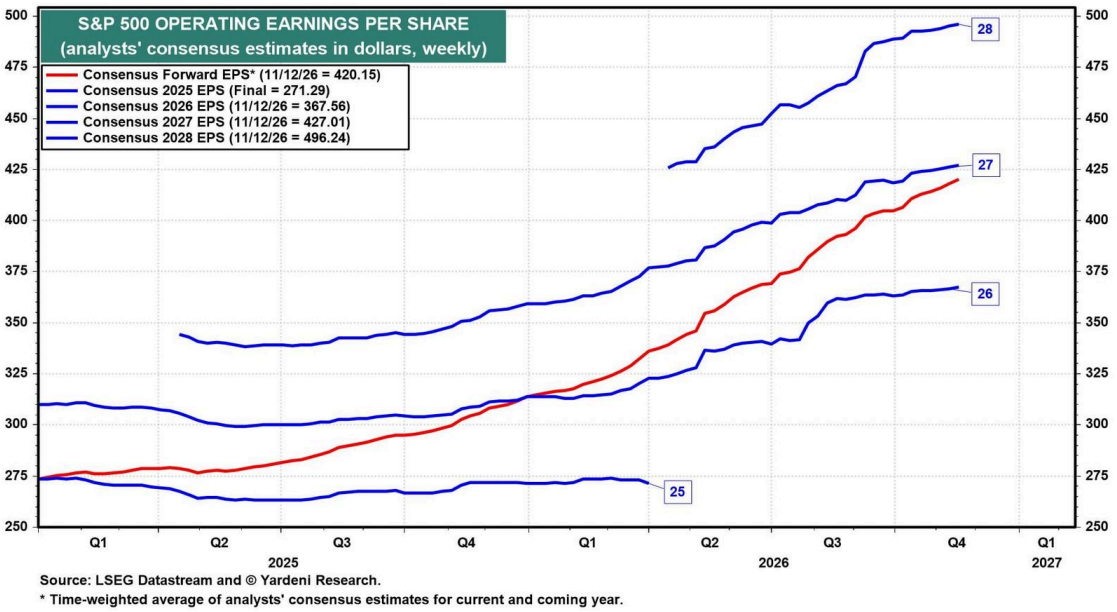


II. Stock Market Earnings

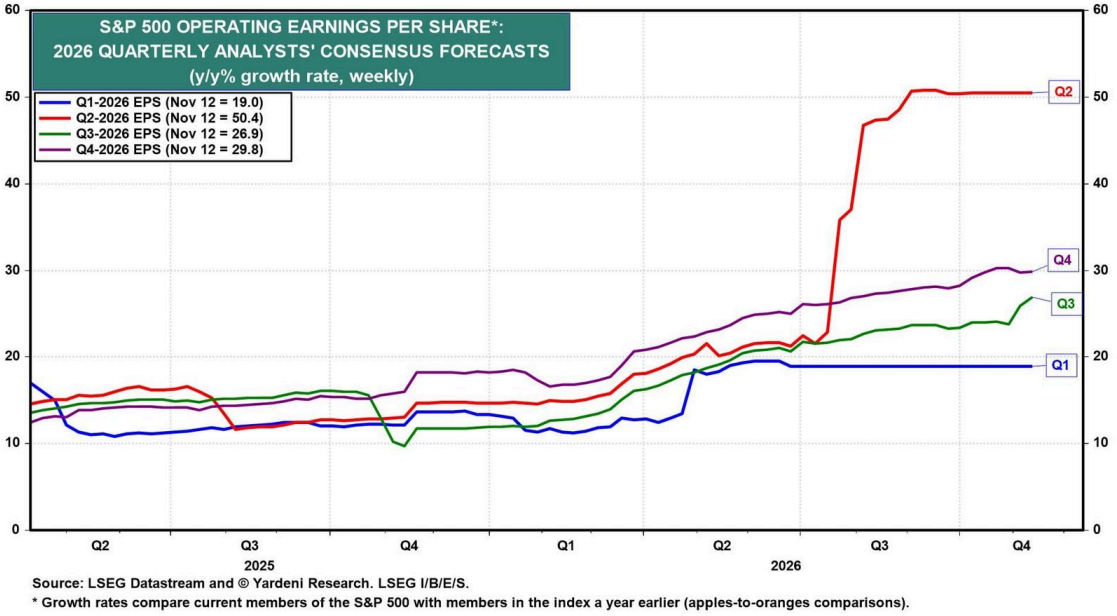
Industry analysts are usually too optimistic about the earnings of the companies they follow. As quarterly earnings reporting seasons approach, they are often forced to cut their estimates. That's evident in their annual consensus "Earnings Squiggles," which tend to start high and then fall to the reported results (chart). This time, the annual Earnings Squiggles for 2026, 2027, and 2028 all are rising. That’s highly unusual. It might reflect some irrational exuberance among analysts. Then again, they've gotten more optimistic as actual earnings have come in stronger than anticipated in recent quarters.



The recent market turbulence hasn’t dented S&P 500 operating earnings-per-share estimates. The 2027 consensus rose to $427.01 last week, and the 2028 consensus rose to $496.24 (chart). Both are new highs. Forward earnings hit another record high at $420.15 per share, edging closer to the 2027 estimate. We are estimating $425 for next year.

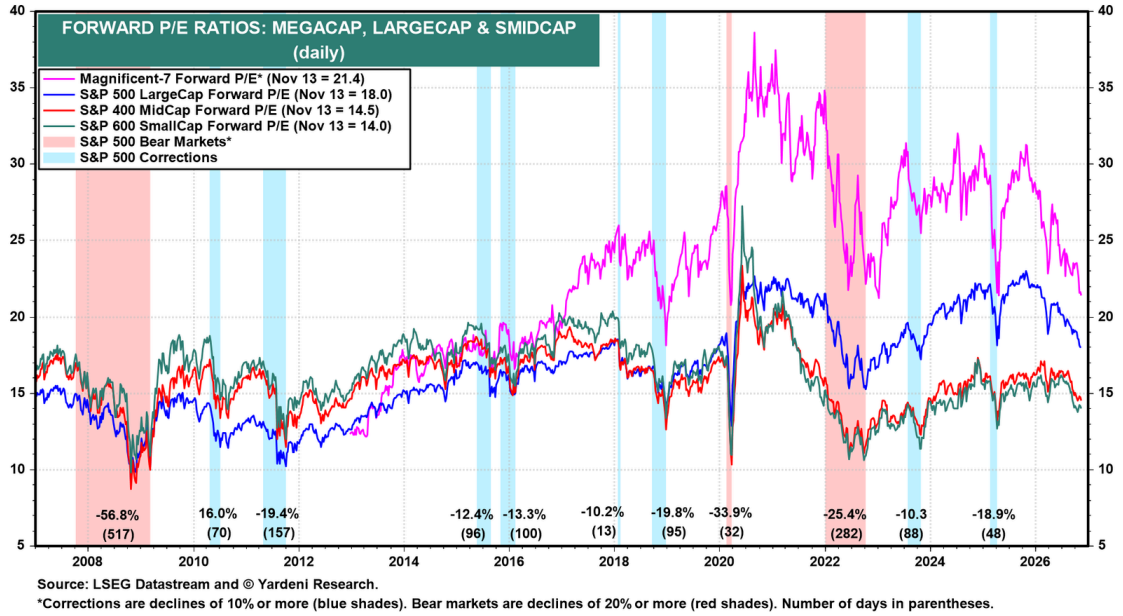


Q3's consensus earnings growth estimate rose again, to 26.9% y/y from 25.9% a week earlier (chart). Q4's estimate edged up to 29.8%. The Q2 actual earnings growth soared on mark-to-market accounting gains. Without them, earnings rose about 25% rather than 50.4%.

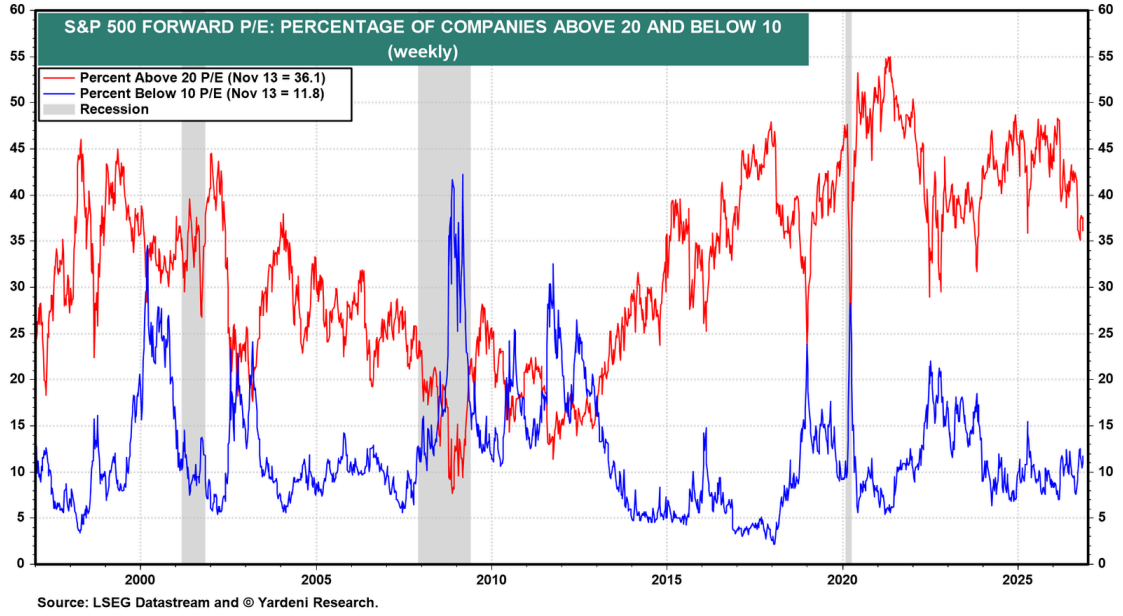


III. Stock Market Valuation

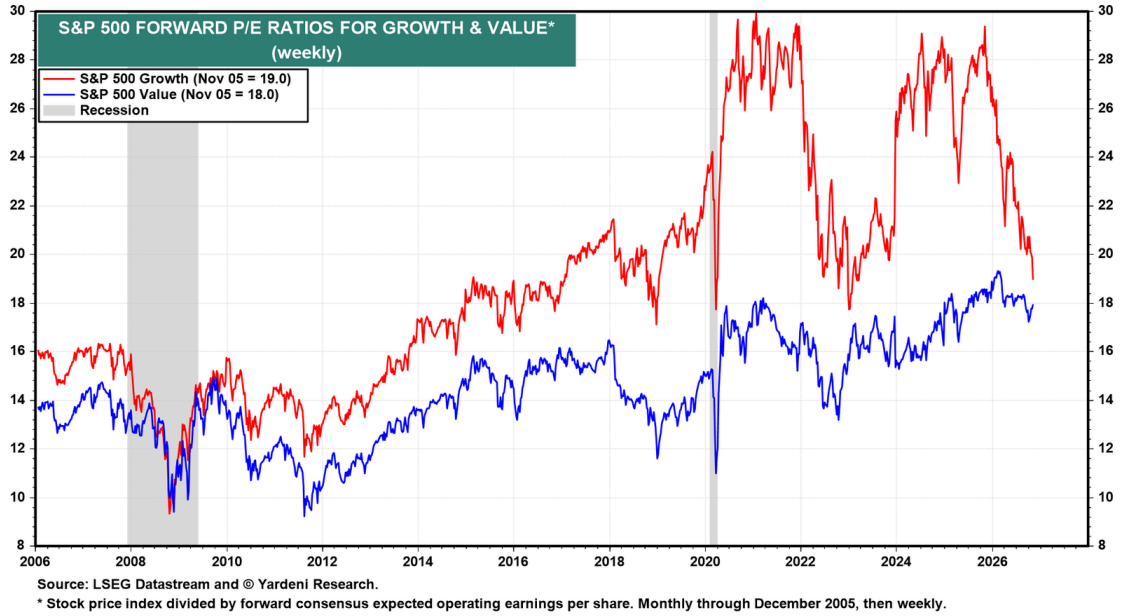
Valuation multiples continue to fall. The S&P 500's forward P/E is down to 18.0, while the Magnificent-7's is down to 21.4 (chart). We think the contraction may be close to a bottom. Our year-end S&P 500 target implies a forward P/E of 18.6. Multiples usually shrink on recession fears. We don't see a recession coming. Expectations of a slowdown in the AI buildout may be weighing on valuations. In our view, the slowdown constitutes speed bumps, not roadblocks.



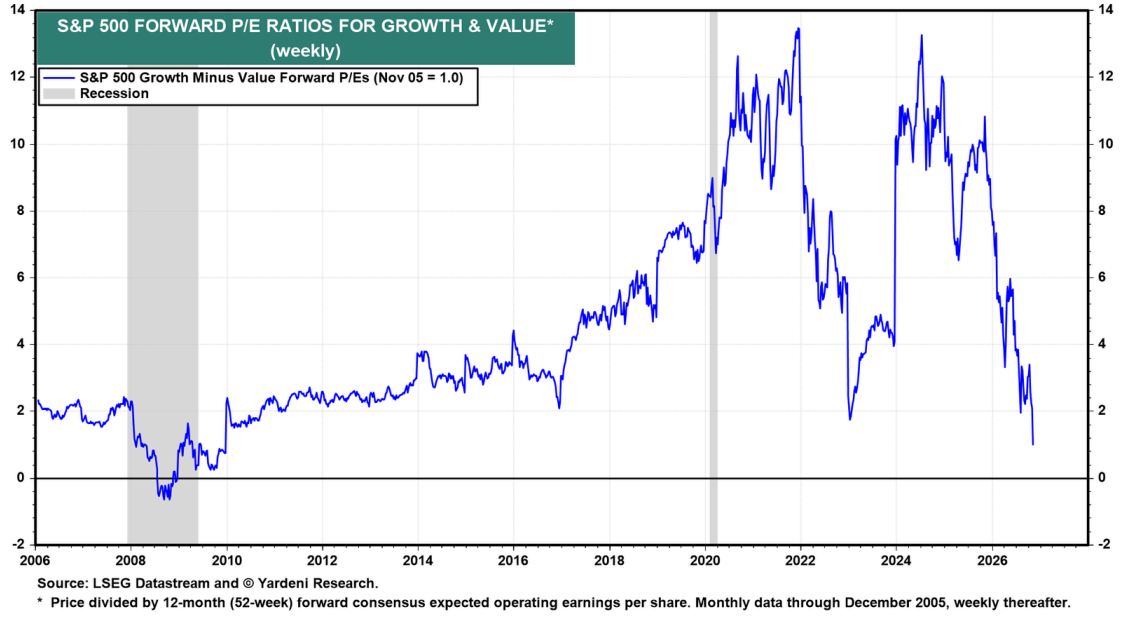
Only 36.1% of S&P 500 stocks now trade above a forward P/E of 20, down from nearly 50% earlier this year (chart). That's a healthy development, driven by the air coming out of the AI bubble, which is now less likely to burst.



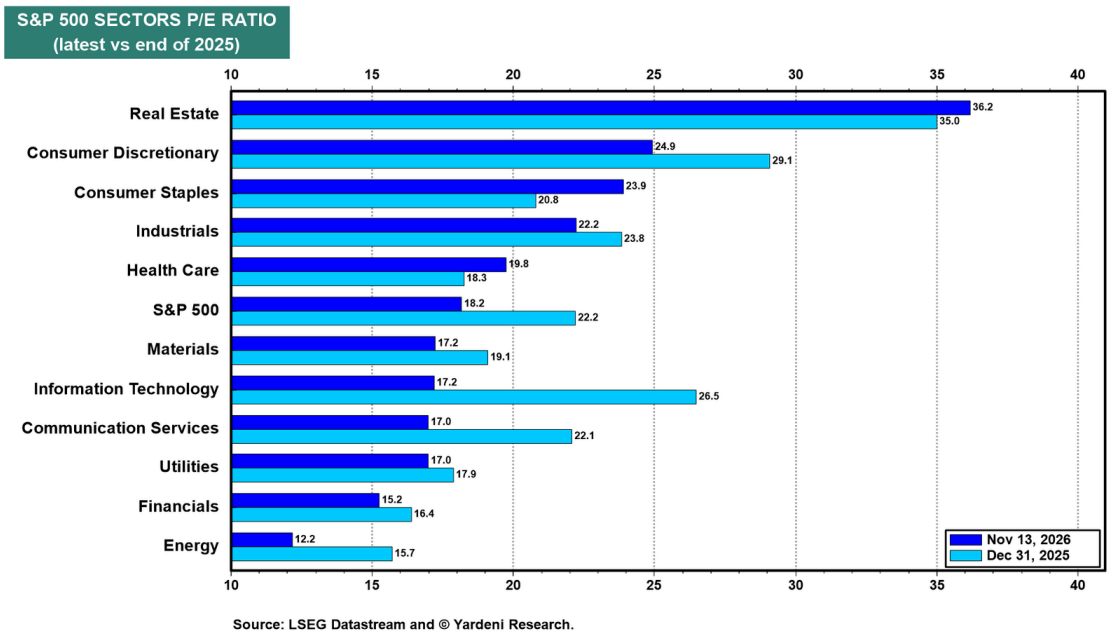
The multiple correction has been centered in S&P 500 Growth, not Value, stocks. The S&P 500 Growth forward P/E has dropped 27% to 19.0 from 26.0 at the start of this year, while Value is at 18.0, about the same as at the beginning of the year (chart).



The spread between the Growth and Value forward P/Es has narrowed to just 1.0 point, the narrowest since 2010 (chart). Investors aren't paying up for growth anymore.

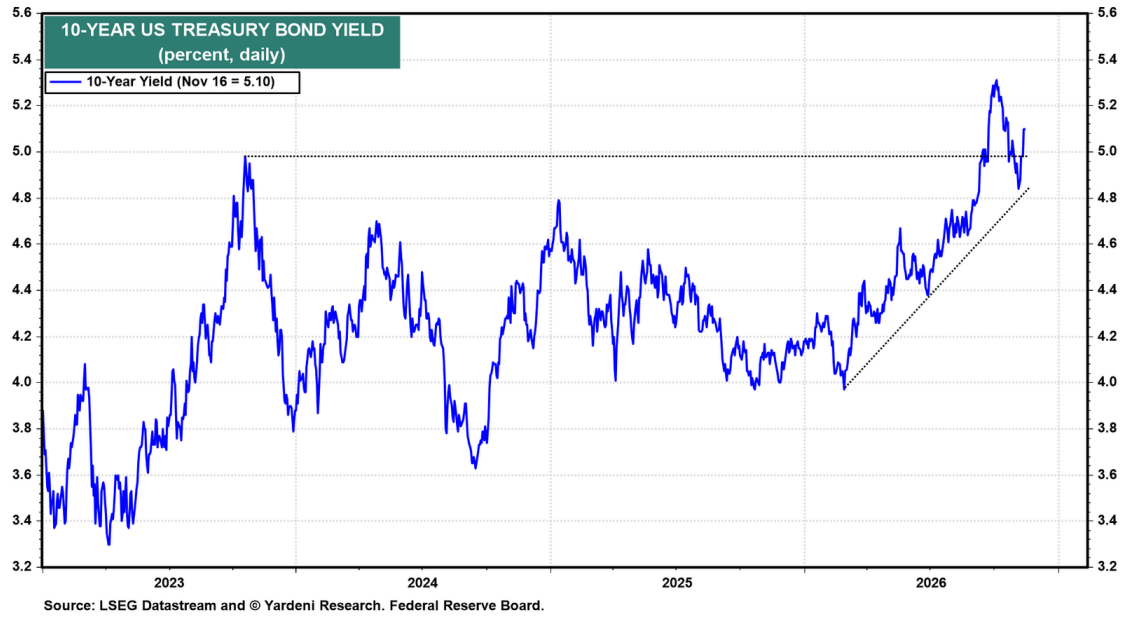


Only three sectors have gotten more expensive this year: Real Estate, Consumer Staples, and Health Care (chart). Information Technology's forward P/E has dropped from 26.5 at the end of last year to 17.2. Communication Services' forward P/E is down from 22.1 to 17.0.



IV. Credit

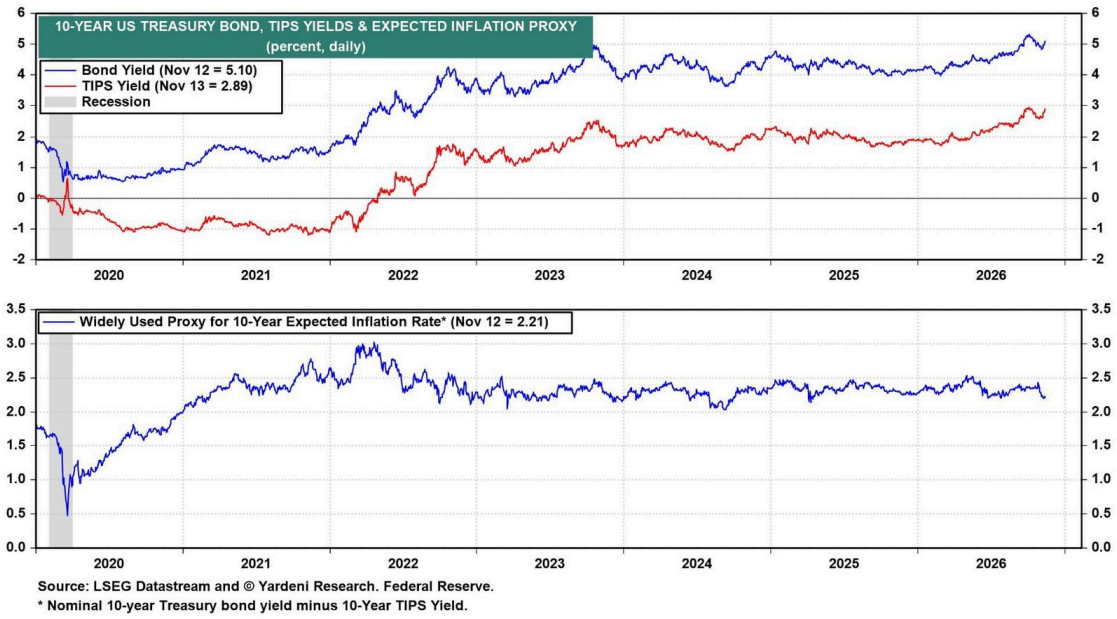
The 10-year Treasury bond yield jumped to 5.10% after October's CPI and PPI reports (chart). That's still below its October peak above 5.30%.



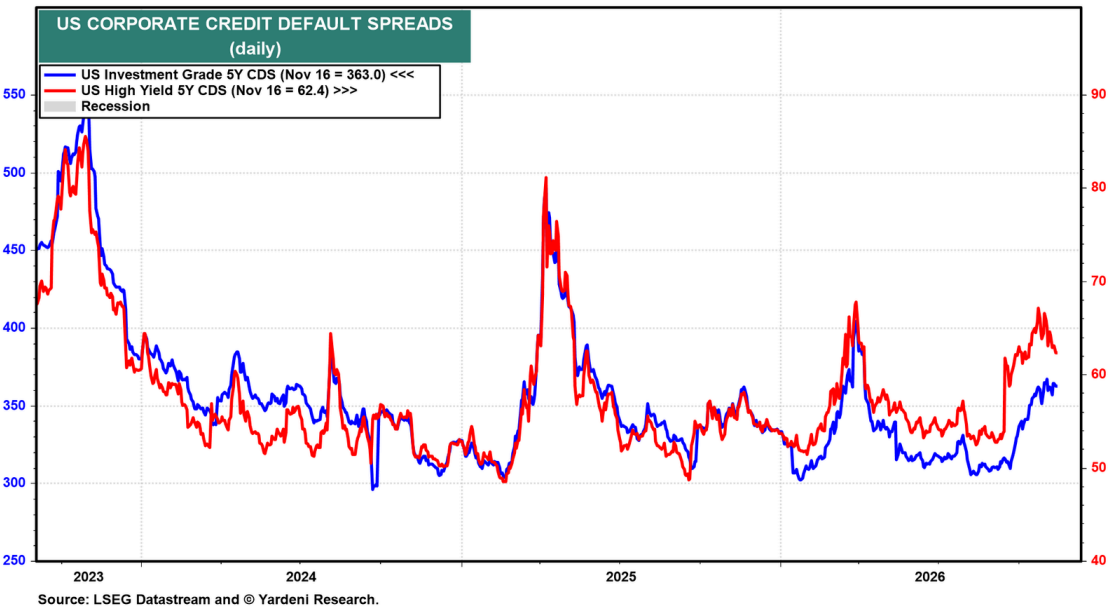
The 10-year yield is hovering near the top end of the 4.00%-5.00% range we consider normal (chart).



The latest increase in the 10-year nominal yield has been attributable to the 10-year TIPS yield. The spread between the two, which is a proxy for 10-year expected inflation, remains low at 2.21% (chart). That's surprising since the recent yield rise followed the hotter-than-expected CPI and PPI reports.

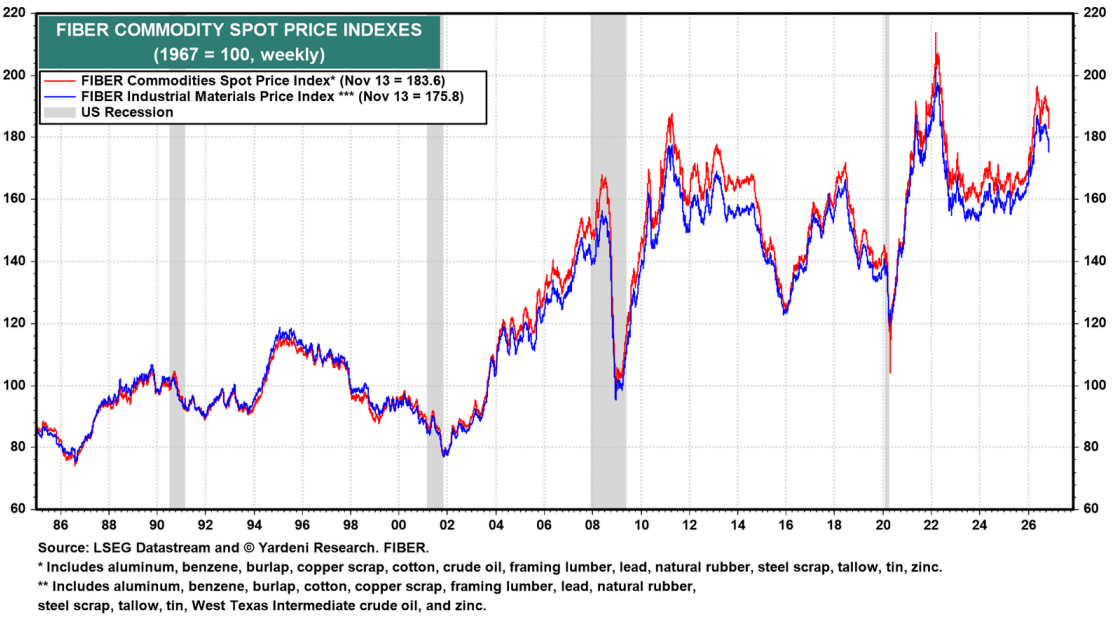


Credit default swap spreads rose in recent months on concerns about the debt of CoreWeave and other AI borrowers but have since narrowed (chart). We don’t see broadening credit stress.



V. Commodities

Commodity prices are signaling less inflationary pressure. The FIBER Commodities Spot Price Index is looking toppy (chart).



The S&P GSCI Energy Spot Index also seems to be topping out along with oil prices (chart).



Even diesel prices have come down substantially. The Gulf Coast spot price fell to $4.11 a gallon from a peak above $5.00 earlier this year (chart).



Agricultural prices have also eased from their summer highs (chart).



The copper price has been getting hit along with the AI trade. It has fallen to $6.08 a pound from its recent record high above $6.80 (chart).



💡

Join the discussion with Ed below! To leave comments or questions, log in to the Yardeni QuickTakes website and post them at the end of the QuickTakes article. Paid members' contributions may be featured in our segment, "Ed Answers Your Questions".



More like this



Less like this



Comment

Copyright (c) Yardeni Research, Inc. Please read complete *copyright and hedge clause*.

Yardeni QuickTakes © 2026 – Unsubscribe